

Heiberger and Lev's Flatiron Townhouse Shows Boutique Condo Capital Is Betting on Scarcity, Not Scale

A three-unit project with a \$20M sellout reveals where development equity is flowing in NYC's capital-constrained market.

The most revealing number in Buttonwood and Wheelhouse's planned three-unit townhouse at 32 East 22nd Street is not the projected \$20 million sellout. It is the unit count. A three-unit project in the Flatiron District is not a development. It is a capital allocation decision. Andrew Heiberger and Howard Lev are not building for volume.

They are building for velocity, margin, and a buyer profile that has already proven it will pay a premium for scarcity. The project, dubbed the London Clay Townhouse, comes as NYC's luxury market pivots hard toward boutique new development and move-in-ready townhouses.

According to The Real Deal's analysis of condo offering plans, buildings with fewer than 40 units accounted for 32 percent of new units coming to market over the past three years, up from 14 percent between 2016 and 2020. That is not a trend. It is a structural shift in how development capital is being deployed. The shift is driven by three constraints.

First, developable land in prime Manhattan neighborhoods is scarce and expensive. Second, construction financing for large-scale projects remains limited and expensive, with banks still cautious after the 2023-2024 credit crunch. Third, wealthy buyers have changed what they want. The era of the amenity-laden supertower as a default luxury product is giving way to a preference for privacy, outdoor space, and turnkey condition in smaller, more curated buildings.

Heiberger and Lev are reading that demand signal and structuring accordingly. The London Clay Townhouse offers a garden parlor unit, an upper parlor apartment with a private terrace, and a penthouse duplex with a private rooftop. Each unit is designed to feel like a standalone home within a townhouse shell. The product type is not new, but the capital discipline behind it is.

This is not a speculative bet on broad market appreciation. It is a bet on a specific buyer cohort that has already demonstrated willingness to pay top dollar for the right product. In August 2025, a buyer signed a contract for a penthouse at Aurora Capital Associates' 15-unit project at 140 Jane Street for \$88 million.

In 2024, Alf Naman found a buyer for a penthouse at his seven-unit development at 125 Perry Street for \$58 million. Those are not outliers. They are evidence that the luxury buyer pool is deep enough to absorb high-priced boutique units, but only when the product and location are defensible. The capital stack for a project like this is also instructive.

With a projected sellout of just over \$20 million, the equity requirement is modest by Manhattan standards. Heiberger and Lev can likely self-fund or raise the equity from a small group of high-net-worth investors without needing institutional construction debt. That matters because construction financing remains expensive and selective. A three-unit project with a clear exit strategy and a credible sponsor can bypass the bank lending bottleneck entirely.

Who benefits from this capital allocation? The developers, obviously, if they execute on pricing and timeline. The buyers, who get a turnkey product in a prime location without the risk and timeline of a larger development. And the lenders who avoid the exposure of financing a larger, slower project in a rate environment that still punishes long-duration risk. Who is exposed?

Developers still trying to finance large-scale luxury towers without a clear pre-sales pipeline. And owners of older, unrenovated townhouses in less desirable neighborhoods, who now compete with newly built or fully renovated product that commands a premium. The London Clay Townhouse is not a market-moving transaction.

But it is a clear signal of where development capital is flowing in 2026: toward small, high-margin projects with a defined buyer, a short construction timeline, and a basis that can survive a market that is still repricing risk. The next phase of NYC luxury development will not be defined by who builds the tallest tower. It will be defined by who controls the smallest, most defensible capital allocation.

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To discuss a financing need, recapitalization, or capital strategy:

ben@lighttowergroup.co

lighttowergroup.co